

India's past experiments with wealth and inheritance tax have been less than successful, and both of these levies were eventually abolished.

In 1953, India introduced the estate duty tax or inheritance tax to be paid when a deceased person's property passed to her successors. The tax on property values could reach as high as 85% to reduce income inequality. Eventually, then Prime Minister Rajiv Gandhi abolished it in 1985 because the tax collection cost was much higher than the actual revenue it yielded. Also, it was levied along with the wealth tax, creating a double tax. Further, there were concerns about many *benami* properties circumventing the tax. In 2015, India also abolished its 1% tax on wealth over ₹30 lakh. Then Finance Minister Arun Jaitley replaced the levy with an income tax surcharge on the super-rich (a taxable income of ₹1 crore+).

Several countries across the

world, including Italy, Belgium, Japan, South Korea, France, the UK, and the US, have been imposing inheritance tax in the range of 4-80%.

"India should continue to focus more on alleviation of poverty than income inequality and ensure that growth priorities are not impeded

WEALTH TAX HAS NOT HELPED INDIA ALLEVIATE INEQUALITY IN THE PAST

due to the moral hazards of income distribution programmes," says D.K. Srivastava, Chief Policy Advisor at EY India. He says India should improve human development indicators and prioritise health and education to reduce income inequalities.

Sandeep Jhunjhunwala, M&A

Tax Partner at Nangia Andersen LLP, concurs that such taxes are unsuitable for India due to social, economic, and political factors. "Corporate and personal income taxes have seen a significant surge in the past few years, and there doesn't seem to be a need to introduce a new tax without an adequate rationale," he says, adding that inheritance taxes could have significant implications for family-owned businesses and could create economic disequilibrium. He cautions that India should evaluate potential risk areas such as the flight of white and intellectual capital, as well as the change of residency and tax base by HNIs to outside India.

Globally, debates on the efficacy of such levies continue on and off, and it is only natural that such discussions are bound to come up periodically in India too. **BT**

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